CAPITAL MARKETS

# Can a $300 Million Infrastructure Check Buy What a Pension Fund Really Needs?

Maine PERS commits to Brookfield's super-core fund, trading liquidity for yield in a market where time is the most expensive ingredient.

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A source-grounded Light Tower Insight. The complete note follows.

Maine PERS committed $300 million to Brookfield Super-Core Infrastructure Partners, an open-end fund that has raised $15 billion in equity as of March 31. The pension fund now holds $2.4 billion in total infrastructure assets against a 10 percent allocation target, with $22.8 billion in total AUM.

The commitment is not remarkable for its size. It is remarkable for what it reveals about the cost of time in institutional capital allocation.

Maine PERS is not buying a single asset with a known cash flow and a defined exit. It is buying into a blind pool of transportation, telecommunications, renewable energy, and utility assets across the United States, managed by Brookfield, with no guarantee of when capital will be called or returned. The fund is open-end, meaning the pension fund has traded the ability to control its own exit for the promise of steady, super-core returns.

That trade is the story.

Infrastructure has become a favored allocation for pension funds seeking yield that is uncorrelated with public markets and backed by real, regulated cash flows. But the structure of the commitment matters more than the asset class label. An open-end fund with $15 billion in equity is not a liquid vehicle. It is a long-duration bet on the manager's ability to deploy capital into assets that generate predictable returns, and on the manager's discipline to return capital when the fund's liquidity terms permit.

Maine PERS is effectively saying: we are willing to wait. We are willing to accept that our capital may be locked up for years. We are willing to trust that Brookfield's underwriting will produce returns that justify the illiquidity premium.

That is a defensible bet. But it is a bet on time, not on assets.

The tension is straightforward. Pension funds have long-dated liabilities, but they also have near-term liquidity needs for benefit payments, rebalancing, and opportunistic allocations. Every dollar committed to an open-end infrastructure fund is a dollar that cannot be redeployed quickly if a better opportunity emerges or if the fund's own liquidity needs change. The cost of that illiquidity is not captured in the fund's net IRR. It is captured in the options the pension fund gives up.

Maine PERS has a 10 percent infrastructure allocation target and has now reached $2.4 billion. That is roughly 10.5 percent of its $22.8 billion AUM. The fund is at or near its target. The $300 million commitment may represent a re-up or a rebalancing within the existing allocation. But the decision to place it with Brookfield's super-core vehicle, rather than a more liquid or more targeted infrastructure mandate, signals a preference for stability over optionality.

The mechanism producing the pressure is the open-end structure itself. Open-end funds allow investors to subscribe and redeem at net asset value, but redemptions are typically subject to gates, queues, and manager discretion. In a stressed market, the ability to exit can disappear precisely when the investor needs it most. The 2023 liquidity crisis in open-end real estate funds, where several major funds gated redemptions, is a recent reminder that open-end does not mean liquid.

Brookfield's super-core fund is not a real estate fund. But the structural risk is the same. The pension fund is betting that Brookfield will manage the fund's liquidity well enough that Maine PERS never needs to test the exit.

That is a bet on manager quality, not on asset quality. And manager quality is harder to underwrite than a toll road's traffic projections.

The practical implication for other institutional allocators is this: the cost of time in infrastructure commitments is rising, not because returns are compressing, but because the opportunity cost of locked-up capital is increasing. With interest rates still elevated relative to the pre-2022 era, the risk-free alternative is no longer zero. A pension fund that commits $300 million to an open-end infrastructure fund is forgoing a 4.5 percent yield on short-duration Treasuries, plus the optionality to deploy that capital into a distressed opportunity or a higher-returning allocation next year.

Maine PERS has decided that the super-core infrastructure return, net of fees, exceeds that opportunity cost. That is a reasonable judgment. But it is a judgment that depends on the fund's ability to generate returns that are both stable and high enough to justify the illiquidity. If the fund delivers 7 to 9 percent net returns, the trade works. If returns compress toward 5 percent as capital floods into the asset class, the pension fund has paid a material price for time.

The market should test whether other pension funds are making the same calculation. If large-scale commitments to open-end infrastructure funds continue at the current pace, the asset class will face a different kind of pressure: too much capital chasing too few deals, compressing forward returns and increasing the gap between the return investors expect and the return the assets can actually deliver.

Maine PERS has placed its bet. The question is whether the fund's time horizon is long enough to absorb the cost of waiting.

## SOURCES

— Institutional Real Estate — https://irei.com/news/maine-pers-slates-300m-for-brookfield-super-core-infrastructure-partners/

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